

TWO COUNTRIES WERE founded in 1947 in South Asia, India and Pakistan. Like the eminently popular Bollywood movies from India, which often tell contrasting stories of two siblings, these two countries have followed different trajectories since Independence.

While India went on to build itself as a functioning democratic powerhouse and is set to overtake Japan to become the fourth-largest economy in 2025, the other, Pakistan, remains mired in an economic crisis, wrecked by poor fiscal and social indicators and crumbling under the weight of its army's *jihadi* policies.

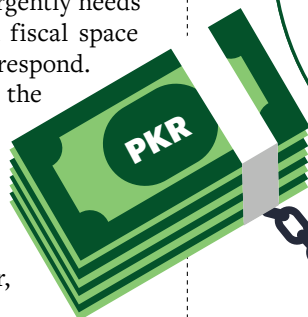
India's robust democratic institutions, coupled with its focus on economic growth and reforms over the years, have worked in its favour, while Pakistan's fragile democracy—marked by coups, military involvement in politics and deep social inequality—has proved to be a major stumbling block to its economic development. Pakistan's gross domestic product (GDP) is approximately 0.33% of world's GDP, as per the International Monetary Fund (IMF). Despite the small size, its economy has remained unstable and hasn't been able to develop resilience.

Pakistan's latest loan from the IMF is the 25th since its inception and the highest number of times that any country has approached IMF for assistance. It currently owes the IMF over \$8 billion. Experts believe that going by its past, it is unlikely to lead to a substantial improvement in its economy.

Unlike India, Pakistan has historically been dealing with an unstable political environment and an all-powerful military. The situation has worsened since the Covid-19, with debilitatingly high external debt, low growth of less than 3%, record-high unemployment, and inflation that rose to 40% in May 2023, all of which snowballed into the economic crisis of 2024, bringing the country again to the brink of a sovereign default.

The situation has been exacerbated by the impact of climate change, which has led to extreme weather events, such as devastating floods, which pose yet another challenge to Pakistan's already struggling economy. "Worsening water scarcity and growing climate vulnerability compound the crisis. While Pakistan urgently needs investment in climate adaptation, limited fiscal space leaves the government ill-equipped to respond. Without bold and comprehensive reform, the country risks being trapped in a recurring economic breakdown and fragile recovery cycle," says Soumya Bhowmick, an Indian economist.

Climate change is a global issue, and India too hasn't escaped unscathed. However,



BASKET CASE

- 1 PAKISTAN'S ECONOMY IS IN TROUBLE WITH LOW GROWTH, RECORD INFLATION AND HIGH EXTERNAL DEBT
- 2 POVERTY AND UNEMPLOYMENT REMAIN THE OTHER CHALLENGES
- 3 THE IMF HAS GIVEN ANOTHER BAILOUT; PAKISTAN IS EXPECTED TO UNDERTAKE REFORMS FOR MACROECONOMIC STABILITY
- 4 PAKISTAN HAS LAUNCHED THE URAAN PROGRAMME TO BOOST GDP GROWTH, EXPORTS
- 5 PRIORITY TO MILITARY SPENDING, RECENT CONFLICT WITH INDIA LIKELY TO THROW A SPANNER IN THE WORKS

